For Sterling — Tesla Model Y: Sell in Dec 2026 vs. Jan 2027?

Client: Robert L. Brizzi · **Prepared:** for CPA review · *(numbers to confirm against the return)*

The facts

- **Vehicle:** 2026 Tesla Model Y Long Range AWD (under 6,000 lbs GVWR → §280F "luxury auto" caps apply)
- **VIN:** 7SAYGDEE6TA451515 · **Placed in service:** 08/21/2025
- **Cost:** $51,630 total · **Current offer (Carvana): $39,600** (business 60% ≈ $23,760 / personal 40% ≈ $15,840)
- **Business use: ~60%** (via LLC) / 40% personal
- **Clean vehicle credit:** $7,500 (§30D) claimed on the individual return — **currently disallowed by IRS Notice CP23** (VIN not on record; Tesla never filed the ECO time-of-sale report). Under dispute; may or may not be reinstated.
- **Straight sale** — no insurance payout / not a total-loss (confirmed).
- **Accident (repaired, not totaled):** out-of-pocket was the **insurance deductible + rental car**. Car has accident history (affects resale/diminished value).

The question

Is it better, after tax, to sell in December 2026 or hold to January 2027? The instinct is that holding to January (a) preserves 2026's depreciation deduction and (b) pushes the sale's gain/recapture into 2027. Please confirm whether that nets out ahead given the specifics below.

Please factor in / advise on

1. **2026 depreciation (Year 2):** MACRS 5-yr Year-2 is 32%, but what does the **§280F auto cap** actually allow for 2026 at 60% business use? Which governs?
2. **Bonus depreciation:** 100% bonus was restored for vehicles placed in service after 1/19/2025 — how did Year 1 (2025) get handled, and does the §280F cap limit it?
3. **Basis:** the $7,500 §30D credit **reduces depreciable basis** — but the credit is disallowed/disputed. How should basis be treated now vs. if the credit is reinstated?
4. **§30D and business use:** with 60% business use, was the credit correctly split (business portion → general business credit vs. personal)? Any issue there?
5. **Recapture on sale (§1245):** how much of "captured depreciation" comes back as ordinary income on the sale, and does Dec vs. Jan change the year it hits?
6. **Business-use %:** does selling risk dropping business use below 50% and triggering depreciation recapture?
7. **Sale price vs. basis:** at the likely resale value (reduced by accident history), is there a gain (ordinary recapture) or just a loss — and does Dec vs. Jan change which year it lands?
8. **Accident costs:** is the **60% business-use share** of the unreimbursed **deductible** (casualty on business property) and the **business portion of the rental** deductible for 2026?

What I'd like from you

- A quick **Dec 2026 vs. Jan 2027** side-by-side (after-tax) using my actual Year-1 depreciation schedule.
- A recommended sell month, and any action needed **before year-end** to lock it in.

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